ACF · Companies and the financial reporting framework — Question Patterns and Methods

Based on 34 past-exam parts, 6 years (2020–2025), their marking keys and the examiners' reports.

First: where marks are lost most

- Facts without the stimulus. Examiners say many answers stated general facts instead of relating them to the stimulus material given in the question. Tie every answer to the company, entity or scenario in the stem.
- Naming without comparing or explaining. For company characteristics, the keys reward how each characteristic differs between public and large proprietary companies, not a bare list. A characteristic stated with no comparison or reason loses the explanation marks (Pattern 1, 2020 SA Q19(e)).
- Identifying instead of explaining. Keys award separate marks for identifying an item and for explaining it. Naming the prospectus or the reporting-entity difference without its purpose or effect loses most of the marks (Pattern 1 2021 EA Q23(c); Pattern 3 2025 EA Q23(d)).
- Superficial statements in long-answer parts. Where the key gives a superficial statement one mark and a developed explanation two, a one-line point caps the answer (Pattern 6, 2020 SA Q19(d) and 2021 EA Q23(e)).
- Missing accounting terms and unanswered parts. Examiners note weak use of Accounting and Finance terminology and fewer attempts at later parts of extended questions. Use the syllabus terms (separate legal entity, limited liability, qualitative characteristics, cash and accrual) and attempt every part.

Pattern 1: Explain company structures and capital-raising requirements

How often: 6/6 papers · 5.2 marks when it appears · 2.2% of a paper.

Recognise it: "identify", "compare" or "distinguish" a public company, a large proprietary company and a proprietary company; "if [company] becomes a public company, identify characteristics that change"; a list of company characteristics to compare across company types; the advantages of a company over a sole trader; capital-raising, including what a public company may do to raise money.

Method

1. Read the stem for the company types named and whether the task asks to identify, explain, describe or compare.
2. Name the characteristic(s) the question targets, such as owner liability, membership, directors, share transferability, legal entity, or access to capital.
3. For a comparison, set out the position of each company type on the same characteristic, one under the other.
4. For each characteristic, give the identification first, then the explanation of how and why it differs.
5. For capital raising, state what a public company may do that a large proprietary company may not (offering shares to the public) and link it to the prospectus where asked.
6. For a prospectus question, explain its purpose and nature, then name the company type that must issue one.

What the key rewards: the key awards separate marks for identifying and for explaining each item. Typically:

- two characteristics that change when a proprietary company becomes public, each with an explanation of how it changes;
- for public companies, the description of a separate legal entity, and of shareholders' limited liability;
- for public and large proprietary companies, a stated and described distinguishing characteristic, twice;
- for owner liability, that unpaid share amounts limit liability equally for both company types;
- for membership, that public companies have no maximum, while large proprietary companies have at

most 50 non-employee members;
- for directors, that public companies need at least three and large proprietary companies at least one;
- for share transfer, that public shares are unrestricted, while proprietary transfers follow the constitution's conditions;
- for capital access, that public companies may offer shares to the public and large proprietary companies may not;
- for a prospectus, 4 marks for its purpose and nature and 1 mark for naming the company type that must issue one.

Common errors: listing a characteristic without the public-versus-proprietary contrast; giving a comparison with only one company type; stating a number (membership or director minimums) without saying which company type it applies to; describing a prospectus without its purpose; confusing the advantages of a company with those of a sole trader (the advantage tested is ease of transfer of ownership, not unlimited liability).

Past questions: 2025 EA Q23(b), 2024 SA Q21(b), 2023 MC Q1, 2022 EA Q21(e), 2021 MC Q6, 2021 EA Q23(c), 2020 SA Q19(e).

Pattern 2: Explain company formation and internal rules

How often: 4/6 papers · 2.5 marks when it appears · 0.7% of a paper.

Recognise it: a question on how the Corporations Act 2001 affects company formation; "explain how a company may adopt a written constitution and/or replaceable rules"; "describe the purpose of a written constitution"; multiple-choice questions on what applies to a company with no constitution.

Method

1. Decide whether the question asks about formation requirements (the Act) or internal rules (constitution and replaceable rules).
2. For formation, explain that the Act sets the legal requirements a company must meet to form in Australia, and what that means for the company.
3. For a written constitution, explain that it sets out the rights and responsibilities of directors and shareholders and the internal management rules of the company.
4. For replaceable rules, explain that they are the Act's default rules and apply to a company that has no constitution of its own.
5. Where the question asks how a company may choose its rules, say it may adopt a constitution, the replaceable rules, or both.

What the key rewards:

- for formation, the Act's legal requirements for forming an Australian company, and the explanation of their impact;
- for the choice of internal rules, how a company adopts a constitution and/or replaceable rules;
- for a constitution's purpose, that it sets directors' and shareholders' rights, responsibilities or internal management rules;
- for multiple-choice questions, the replaceable rules as a default set that applies where a company has no constitution.

Common errors: saying replaceable rules must be used by all companies, or cannot be modified (both are wrong and appear as distractors); explaining formation with no reference to the Act.

Past questions: 2025 EA Q23(c), 2023 MC Q8, 2021 SA Q19(d), 2020 MC Q2.

Pattern 3: Identify reporting entities and general-purpose reporting requirements

How often: 5/6 papers · 3.0 marks when it appears · 1.1% of a paper.

Recognise it: "which of the following would be external users of financial reports"; "according to the

Conceptual Framework, the primary objective of general purpose financial reporting is..."; "a reporting entity is..."; which entities Australian Accounting Standards apply to; a long-answer task that asks for the nature of a reporting entity and differences in reporting requirements.

Method

1. For external users, sort the groups listed: lenders, creditors and shareholders are outside the entity; managers, employees and directors are inside it.
2. For the objective of general purpose financial reporting, state that it is to provide information useful for decision-making by users.
3. For a reporting entity, describe it using the Conceptual Framework: an entity that is required to, or chooses to, prepare general purpose financial reports.
4. For applicability of standards, match the entity type to the standard: Australian Accounting Standards apply to public companies and other reporting entities.
5. For a comparison of reporting and non-reporting entities, describe the nature of a reporting entity, then explain each difference in reporting requirements in full (each explained difference earns 3 marks).

What the key rewards:

- for the objective of general purpose financial reporting, a statement of its objective and the two fundamental qualitative characteristics asked for (5 marks total);
- for a reporting entity, a description of its nature, then two explained differences in reporting requirements, each at the 3-mark level;
- for the Conceptual Framework, the principles and content of general purpose financial reports, not compliance by all companies;
- for multiple choice, the correct external-user group, objective, entity definition or standards scope.

Common errors: listing internal users (managers, employees, directors) as external; defining a reporting entity as a legal entity; saying the Conceptual Framework is administered by ASIC or must be complied with by all companies; giving a difference without explaining the reporting requirement; giving the objective of reporting as management-only or future-focused budgets.

Past questions: 2025 MC Q4, 2025 MC Q15, 2025 EA Q23(d), 2023 MC Q10, 2023 MC Q11, 2022 EA Q21(d), 2021 MC Q5, 2020 MC Q13.

Pattern 4: Apply qualitative characteristics of financial information

How often: 3/6 papers · 2.3 marks when it appears · 0.5% of a paper.

Recognise it: "which characteristic ensures that information is complete, neutral and free from error"; "the enhancing qualitative characteristics are..."; "fundamental qualitative characteristics" in a long-answer question about the objective of reporting.

Method

1. Decide whether the question asks for a fundamental or an enhancing characteristic. Fundamental: relevance and faithful representation. Enhancing: comparability, verifiability, timeliness, understandability.
2. For a definition question, match the description in the stem to the characteristic (complete, neutral and free from error describes faithful representation).
3. For a long-answer question, identify two fundamental characteristics, then outline each one in a sentence or two, linking it to the information in the stimulus.
4. For an application question, say how the characteristic applies to the information in the stimulus.

What the key rewards:

- for a definition, the correct characteristic matched to its description (1 mark);
- for the enhancing set, the correct four enhancing characteristics (1 mark);

- for the long answer, the objective of reporting and one identified and outlined fundamental characteristic, then a second (5 marks total).

Common errors: mixing enhancing characteristics into the fundamental set; using a characteristic such as timeliness or comparability as a fundamental characteristic; giving a characteristic without outlining it.

Past questions: 2025 MC Q3, 2022 MC Q12, 2022 EA Q21(d), 2020 MC Q7.

Pattern 5: Apply financial-element definitions and recognition

How often: 2/6 papers · 2.0 marks when it appears · 0.3% of a paper.

Recognise it: "applying the recognition criteria in the Conceptual Framework, explain whether [item] would be recognised as an asset"; "in order for an asset to be recognised it must…".

Method

1. State the recognition criteria: the item must meet the definition of an asset, and the information must be relevant and reliably measurable.
2. Test the item against the definition and against each criterion in turn.
3. Give the decision (recognised or not) and explain it for the criterion that fails, using relevance and reliable measurement.

What the key rewards: for an item that is not recognised as an asset, an explanation of why it fails the asset recognition criteria, applying relevance and reliable measurement (3 marks). In multiple choice, that an asset must meet the definition, carry relevant information and be a faithful representation.

Common errors: stopping at the definition without applying the relevance and reliable-measurement tests; leaving the decision unexplained.

Past questions: 2024 SA Q19(e), 2021 MC Q1.

Pattern 6: Explain the purposes of accounting standards

How often: 3/6 papers · 7.7 marks when it appears · 1.7% of a paper.

Recognise it: "explain / discuss / outline three purposes of accounting standards"; "discuss the purpose of accounting standards in providing confidence to investors and assisting directors"; "explain how the Australian Accounting Standards protect external users".

Method

1. Read the command word and the number of purposes asked for. Give exactly that many, each different.
2. For each purpose, state it, then explain the link: how the standard leads to comparable reports, informed decisions, confidence in the market, or a framework for directors.
3. Use the stimulus material to show why the purpose matters in this scenario.
4. Where the question says "discuss", weigh the purpose against the stimulus, for example the benefit to investors and the duty of directors.

What the key rewards:

- standards that provide consistent, comparable reporting and confidence in Australian capital markets;
- standards that help directors meet their reporting obligations, giving a framework and benchmark for accountability and accurate reporting;
- standards that support efficient capital markets, lower capital costs and international competitiveness;
- standards that make general purpose financial reports comparable between entities and across years, and so support informed decisions by investors and creditors;
- each purpose earns 2 marks when described and 1 mark when only identified (superficial statements earn 1 mark).

Common errors: a one-line superficial point with no explanation (1 mark, not 2); repeating the same purpose

in different words; not using the stimulus; discussing standards in general without linking to external users or directors.

Past questions: 2024 EA Q22(d), 2021 EA Q23(e), 2020 SA Q19(d).

Pattern 7: Explain the accountant role in business operations

How often: 2/6 papers · 6.0 marks when it appears · 0.9% of a paper.

Recognise it: "part of the role of a company accountant is to manage business operations; describe three examples"; "explain the role of the accountant in managing business operations and identify three functions they perform".

Method

1. Read the stem for how many examples or functions are asked, and whether an explanation of the role is also required.
2. Choose three examples from different areas: collecting, maintaining and checking financial information; analysing information, advising management and monitoring controls; meeting reporting, tax, GST and other regulatory responsibilities.
3. For each example, say what the accountant does and why it matters to managing the business.
4. Use the accounting terms of the course (accuracy of records, internal controls, GST, tax reporting).

What the key rewards:

- one relevant example from each area: information collection, maintenance or accuracy; analysis, advice to management or monitoring of controls; reporting, tax, GST or regulatory compliance (2 marks each);
- for the role, an explanation of the accountant's role in managing business operations (3 marks);
- for functions, three functions identified (3 marks, 1 each).

Common errors: three examples from the same area; general statements such as "the accountant does the accounts" with no detail; not referring to the stimulus material; omitting accounting terminology.

Past questions: 2023 EA Q22(e), 2020 EA Q21(f).

Pattern 8: Compare internal and external reporting

How often: 2/6 papers · 3.5 marks when it appears · 0.5% of a paper.

Recognise it: "describe two differences between internal and external reporting in relation to the types of reports prepared"; "state three differences between internal and external reporting for a company".

Method

1. Choose differences that are distinct from one another, covering the report types, format, accounting standards, timeliness, audit requirements and scope.
2. For each difference, state what applies to internal reports and what applies to external reports.
3. For a described difference, give one clause of explanation (for example, who uses the report and why this affects its type).
4. For a question addressed to a named company's management, relate the difference to that company's reports.

What the key rewards: for each stated or described difference, a contrast between internal and external reporting on one of: report format, accounting standards, timeliness, audit requirements, scope, or types of reports prepared (1 mark each for a stated difference; 2 marks each for a described one).

Common errors: giving the same feature for both kinds of report; stating a difference without saying how the two differ; describing a difference that is not one of the listed areas without linking it to the report types.

Past questions: 2023 SA Q18(d), 2022 SA Q20(c).

Pattern 9: Distinguish cash and accrual accounting

How often: 2/6 papers · 2.5 marks when it appears · 0.4% of a paper.

Recognise it: "the accrual method of calculating profit will..."; "use the performance reports of [company] to explain the difference between cash and accrual performance reporting and provide two examples".

Method

1. Define cash accounting: income and expenses recorded when cash is received or paid.
2. Define accrual accounting: all income earned and expenses incurred in the period are recorded, whether or not cash has moved.
3. Explain the difference in timing between the two, using the stimulus.
4. Give two examples from the performance reports, one showing income earned but not yet received and one showing expenses incurred but not yet paid, each tied to the company in the question.

What the key rewards: for the explanation, the difference between cash and accrual performance reporting (2 marks); for the examples, two examples taken from the company's performance reports (2 marks). In multiple choice, that accrual profit is based on income earned and expenses incurred in the period.

Common errors: saying accrual profit is always larger or smaller than cash profit (both are distractors); giving examples not drawn from the reports; describing accrual in terms of cash receipts and payments only.

Past questions: 2024 MC Q7, 2020 EA Q22(d).